

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION APPROVING A FIRST AMENDMENT TO INDENTURE OF TRUST AND CERTAIN OTHER DOCUMENTS AND MATTERS RELATED TO THE CITY OF CHEYENNE, WYOMING, REFUNDING REVENUE BONDS (ST. MARY’S SCHOOL PROJECT) SERIES 2015.”

WHEREAS, the City of Cheyenne, Wyoming (the “City”) is a municipality duly organized and existing under the Constitution and laws of the State of Wyoming (the “State”); and

WHEREAS, pursuant to Wyoming Statute §§ 15-1-701 through 15-1-710 (the “Act”) and Wyoming Statute §§ 16-5-501, *et seq.*, the City previously issued its \$9,000,000 City of Cheyenne, Wyoming Variable Rate Revenue Bonds (St. Mary’s School Project), Series 2007 (the “Series 2007 Bonds”) and loaned the proceeds of the Series 2007 Bonds to the Church of St. Mary, a Wyoming non-profit corporation (the “Borrower”) to finance the construction, equipping and furnishing of an elementary school in Cheyenne, Wyoming; and

WHEREAS, pursuant to the Act, the City previously issued its \$7,915,000 City of Cheyenne, Wyoming, Refunding Revenue Bonds (St. Mary’s School Project), Series 2015 (the “Series 2015 Bond”), pursuant to an Ordinance No. 4079 adopted by the Governing Body of the City (the “Governing Body”) on June 22, 2015 (the “Ordinance”), and an Indenture of Trust, dated as of June 1, 2015, by and between the City and Wells Fargo Bank, National Association, as trustee (the “Trustee”), and loaned the proceeds of the Series 2015 Bond to the Borrower to finance the redeeming and refunding of the outstanding principal balance of the Series 2007 Bonds, together with any unpaid interest thereon; and

WHEREAS, the Series 2015 Bond was issued, and is currently held in full by, Wells Fargo Bank, National Association, as bondholder (the “Purchaser”); and

WHEREAS, a change to the Maximum Federal Corporate Tax Rate has impacted the Medium Term Rate currently charged on the Series 2015 Bond (the “Rate Increase”); and

WHEREAS, in response to such Rate Increase, the Purchaser has agreed to a reduction in the base Medium Term Rate currently charged on the Series 2015 Bond, together with certain additional modifications to the interest rate provisions of the Indenture; and

WHEREAS, Section 8.02 of the Indenture permits the Indenture to be amended to reduce the interest rate on the Series 2015 Bond with the consent of the Owners of the outstanding Series 2015 Bond; and

WHEREAS, the Borrower has requested the City facilitate the execution and delivery of a First Amendment to Indenture of Trust (the “First Amendment”) dated as of the date thereof by and between the City and the Trustee, for the purposes of modifying the Medium Term Rate; and

WHEREAS, the Purchaser, as the Owner of 100% of the Outstanding Bond, will consent to this First Amendment; and

WHEREAS, the execution of the First Amendment will result in a reissuance of the Series 2015 Bond for federal income tax purposes and, as a result thereof, in conjunction herewith, (a) the City and the Borrower will enter into a Tax Regulatory Agreement and No-Arbitrage Certificate (the “Tax Certificate”), (b) the City and Hathaway & Kunz, P.C., and Dinsmore & Shohl, LLP, together, serving as co-Bond Counsel (referred to herein collectively as “Bond Counsel”), will prepare and submit an IRS Form 8038, (c) Bond Counsel will give its bond opinion, and (d) the Borrower will cause to be delivered to the City and Bond Counsel a borrower’s counsel opinion.

WHEREAS, the Series 2015 Bond is not, does not and will not constitute or become an indebtedness, a debt or a pecuniary liability of or a charge against the general credit or taxing power of the City or the State within the meaning of any provision or limitation of the State constitution or statutes; and

WHEREAS, the City has been presented with the proposed form of the First Amendment to be used in connection with the reduction of the Medium Term Rate; and

WHEREAS, capitalized terms used but not defined herein have the respective meanings ascribed to them in the Indenture; and

WHEREAS, the Governing Body desires to authorize the execution by the City of the First Amendment in substantially the form presented to the City and further desires to authorize to approve the participation by the City in such other transactions as are contemplated thereby, all in accordance with the provisions of the Indenture, as amended and the Act.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, THAT:

Section 1. Approval of First Amendment; Authorization for Execution. The form, terms and provisions of the First Amendment are hereby approved and the Mayor and the officials of the City, including the City Attorney, or their respective written designee (each an “Authorized Officer”) shall enter into the First Amendment in substantially the form of the document presented to the Governing Body, with only such changes therein as are not inconsistent herewith; provided, however, that the Authorized Officers are empowered to make or accept any changes to any such First Amendment that such Authorized Officer deems necessary, such determination to be evidenced by the execution thereof by such Authorized Officer of such document as so modified; and, provided further, that the Authorized Officer is hereby authorized to execute and deliver the First Amendment as required, and the Clerk of the City is hereby authorized to attest on behalf of the City the First Amendment.

Section 2. Other Actions by the City. Each Authorized Officer and all officers, agents and employees of the City, for and on behalf of the City, be and they hereby are authorized and directed to do any and all things necessary to effect the execution and delivery of each of the First Amendment and to carry out the terms thereof, in conformity with the statutes of the State, necessary or reasonably required by the parties to the First Amendment to effectuate its provisions and shall take all action necessary or desirable to facilitate the rate modification and for carrying out the transactions contemplated by this First Amendments. Each Authorized Officer and all officers, agents and employees of the City are further authorized and directed, for and on behalf of the City, to execute all papers, documents, certificates and other instruments that may be required in order to carry out the authority conferred by this Resolution and the First Amendment including, without limitation, the execution and delivery of any required certificates, tax agreements, including the Tax Certificate, financing statements, or other closing documents to be delivered in connection with the execution and delivery of the Amendments.

Section 3. No Indebtedness of the City. The Series 2015 Bond shall not constitute or become an indebtedness, a debt or a pecuniary liability of or a charge against the general credit or taxing power of the City or the State within the meaning of any provision or limitation of the State constitution or statutes. Nothing contained in this Resolution, the Ordinance, the Series 2015 Bond, the Indenture, as amended, shall give rise to any personal or pecuniary liability of any officer, employee or agent of the City.

Section 4. Severability. The provisions of this Resolution are hereby declared to be severable and if any section, phrase or provisions shall for any reason be declared to be invalid, such declaration shall not affect the validity of the remainder of the sections, phrases and provisions hereof.

Section 5. Governing Law. This Resolution shall be construed and governed in accordance with the laws of the State.

Section 6. Repeal of Inconsistent Resolutions. All other resolutions of the Governing Body, or parts of resolutions, inconsistent with this Resolution, are hereby repealed to the extent of such inconsistency.

Section 7. Effective Date of Resolution. This Resolution shall take effect from and after its passage and approval.

Section 8. Effective Date. This resolution shall be in full force and effect upon its approval and publication.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2018.

Marian J. Orr, Mayor

(SEAL)
Attest:

Carol Intlekofer, City Clerk

FIRST AMENDMENT TO INDENTURE OF TRUST

by and between

CITY OF CHEYENNE, WYOMING

and

**WELLS FARGO BANK, NATIONAL ASSOCIATION,
as Trustee**

Dated as of June __, 2018

Relating to the

City of Cheyenne, Wyoming

Refunding Revenue Bonds (Saint Mary's School Project) Series 2015

FIRST AMENDMENT TO INDENTURE OF TRUST

This **FIRST AMENDMENT TO INDENTURE OF TRUST** (this “*First Amendment*”), dated as of June __, 2018 (the “*First Amendment Effective Date*”), is by and between the City of Cheyenne, Wyoming (the “*Issuer*”), and Wells Fargo Bank, National Association, duly organized and existing under the laws of the United States of America, as trustee (the “*Trustee*”), and amends that certain Indenture of Trust, dated as of June 1, 2015, by and between the Issuer and the Trustee (the “*Indenture*”).

Capitalized terms used but not defined herein have the respective meanings ascribed to them in the Indenture.

W I T N E S S E T H:

WHEREAS, pursuant to the Indenture, the Issuer issued its \$7,915,000 City of Cheyenne (Saint Mary’s School Project), Series 2015 (the “*Bond*”), and loaned the proceeds of the Bond to the Church of St. Mary, a Wyoming nonprofit corporation (the “*Borrower*”), pursuant to that certain Loan Agreement, dated as of June 1, 2015 (the “*Loan Agreement*”); and

WHEREAS, the Bond was issued to, and is currently held in full by, Wells Fargo Bank, National Association, as bondholder (the “*Purchaser*”); and

WHEREAS, a change to the Maximum Federal Corporate Tax Rate has impacted the Medium Term Rate currently charged on the Bond (the “*Rate Increase*”); and

WHEREAS, in response to such Rate Increase, the Purchaser has agreed to a reduction in the base Medium Term Rate currently charged on the Bond, together with certain additional modifications to the interest rate provisions of the Indenture; and

WHEREAS, Section 8.02 of the Indenture permits the Indenture to be amended to reduce the interest rate on the Bond with the consent of the Owners of all of the Outstanding Bond; and

WHEREAS, the Purchaser, as the Owner of 100% of the Outstanding Bond, has consented to this First Amendment, as evidenced by the consent attached hereto as *Exhibit A*; and

WHEREAS, the amendments set forth herein will result in a reissuance of the Bond for federal income tax purposes (the “*Tax Reissuance*”) and, as a result thereof, in conjunction herewith, (a) the Issuer and the Borrower will enter into a Tax Regulatory Agreement and No-Arbitrage Certificate, (b) the Issuer and Hathaway & Kunz, P.C. and Dinsmore & Shohl, LLP, together, serving as co-Bond Counsel (referred to herein collectively as “*Bond Counsel*”), will prepare and submit an IRS Form 8038, (c) Bond Counsel will give its bond opinion, and (d) the Borrower will cause to be delivered to the Issuer and Bond Counsel a borrower’s counsel opinion.

NOW, THEREFORE, THIS FIRST AMENDMENT WITNESSETH:

**ARTICLE I.
AMENDMENTS**

SECTION 1.1. Amendment to Definitions. The definitions of “*Medium Term Rate*”, “*Taxable Rate*”, and “*Margin Rate Factor*” in Section 1.01 of the Indenture are deleted in their entirety and replaced with the following as of the First Amendment Effective Date:

“*Margin Rate Factor*” means the greater of (a) 1.0, and (b) the product of (i) one minus the prevailing Maximum Federal Corporate Tax Rate in effect on the date of calculation multiplied by (ii) the quotient of (A) one divided by (B) one minus the Maximum Federal Corporate Tax Rate on the First Amendment Effective Date. The effective date of any change in the Margin Rate Factor shall be the effective date of the decrease or increase (as applicable) in the Maximum Federal Corporate Tax Rate resulting in such change. The Maximum Federal Corporate Tax Rate as of April 27, 2018 is 21% such that the current Margin Rate Factor equals 1.0. The Margin Rate Factor will not go below 1.0.

“*Medium Term Rate*” means (a) during the initial Direct Purchase Period occurring on or subsequent to June __, 2018, [3.35%] multiplied by the Margin Rate Factor, (b) during any other Direct Purchase Period, the interest rate on the Bond established from time to time pursuant to Section 2.03(d) multiplied by the Margin Rate Factor and (c) during any Rate Period that is not a Direct Purchase Period, the interest rate on the Bond established from time to time pursuant to Section 2.03(d).

“*Taxable Rate*” means for any date of determination, the rate of interest per annum equal to the product of the interest rate on the Bonds then in effect multiplied by the quotient of (a) one divided by (b) one minus the prevailing Maximum Federal Corporate Tax Rate.

**ARTICLE II.
MISCELLANEOUS**

SECTION 2.1. Bond Document. This First Amendment is a Bond Document.

SECTION 2.2. Governing Law. This First Amendment shall be governed by and interpreted in accordance with the laws of the State of Wyoming.

SECTION 2.3. Effect on Indenture. The Indenture, as amended hereby, remains in full force and effect in accordance with its terms and is ratified and confirmed. The execution and delivery of this First Amendment does not and will not operate as a modification or waiver of any right, power, or remedy of Trustee or the Issuer under the Indenture or any other Bond Document, except as specifically set forth herein. Without limiting the generality of the foregoing, except as provided in this First Amendment, nothing herein limits or affects the obligations and limitations contained in the Indenture. The modifications herein are limited to the specifics hereof.

SECTION 2.4. Execution in Counterparts. This First Amendment may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument. Delivery of an executed counterpart of this First Amendment by electronic mail will be equally effective as delivery of an original executed counterpart of this First Amendment. A party delivering an executed counterpart of this First Amendment by electronic mail shall also deliver an

original executed counterpart of this First Amendment, but the failure to deliver an original executed counterpart will not affect the validity, enforceability, and binding effect of this First Amendment.

{Signature Page Follows.}

Signature Page
to First Amendment to Indenture of Trust

Re: \$7,915,000 City of Cheyenne, Wyoming
Refunding Revenue Bonds (Saint Mary's School Project) Series 2015

Executed to be effective as of the First Amendment Effective Date.

CITY OF CHEYENNE, WYOMING

By: _____
Print Name: _____
Title: _____

(SEAL)

ATTEST:

By: _____

**WELLS FARGO BANK, NATIONAL
ASSOCIATION, as Trustee**

By: _____
Print Name: Marybeth K. Jones
Title: Vice President

Exhibit A
to First Amendment to Indenture of Trust

***Re: \$7,915,000 City of Cheyenne, Wyoming
Refunding Revenue Bonds (Saint Mary's School Project) Series 2015***

Consent and Certification of Ownership

This Consent and Certification of Ownership is given in conjunction with the execution and delivery of that certain First Amendment to Indenture of Trust, dated as of June __, 2018 (the "*Amendment*"), by and between the City of Cheyenne, Wyoming (the "*Issuer*") and Wells Fargo Bank, National Association, duly organized and existing under the laws of the United States of America, as trustee (the "*Trustee*"). The Amendment amends that certain Indenture of Trust, dated as of June 1, 2015 (the "*Indenture*"), by and between the Issuer and the Trustee, pursuant to which the above-referenced Bond was issued and reissued.

Capitalized terms used but not defined herein have the respective meanings ascribed to them in the Indenture.

The undersigned, on behalf of Wells Fargo Bank, National Association (the "*Purchaser*"), being duly authorized, by execution and delivery hereof, makes the following certification and gives the following consent:

1. The Purchaser is the Owner of 100% of the Outstanding Bond.
2. The Purchaser has received and reviewed a copy of the Amendment. Pursuant to Section 8.02 of the Indenture, the Purchaser consents to the Amendment.

**WELLS FARGO BANK, NATIONAL
ASSOCIATION, as Owner of the Bond**

By: _____
Print Name: _____
Title: _____